
ECO 101 Tutorial 3: Supply, Demand and Competitive Markets

- Q1.** The perfectly competitive market for used cars has the usual market demand and supply curves. Supply issues have increased the cost of computer chips used to produce new cars. Used cars already have these chips. Supply of used cars comes from people upgrading to new cars. From the options below, which one is correct. The chip cost increase causes the _____ curve for USED cars _____. (For bragging rights, can you find another correct option missing from below?)
- A. demand; shifts in (decreases)
 - B. demand; shifts out (increases)
 - C. demand; to remain unchanged.
 - D. supply; to remain unchanged.
 - E. supply; shifts out (increases)
- Q2.** There are only two people in the market — Nathan and Mina. Nathan's Marginal Willingness to Pay (MWTP) for the Q th unit of the good is given by $MWTP = 100 - Q$. Mina's Marginal Willingness to Pay for the Q th unit is given by $MWTP = 80 - 2Q$. What is the market quantity demanded at a price of \$85?
- A. 0
 - B. 2.5
 - C. 15
 - D. 12.5
 - E. 31.67
- Q3.** Assume perfectly competitive markets with the usual downward-sloping demand and upward-sloping supply curves. Consider the market for kayaks. The market price and market quantity of kayaks have increased in Canada. Which of the options below could explain this?
- A. Pandemic restrictions mean more people are choosing to spend their summer vacations kayaking.
 - B. Supply bottlenecks make it more expensive to produce kayaks.
 - C. Better technology makes kayak production more productive.
 - D. People's income fell during the pandemic and kayaks are a normal good.
 - E. The price of canoes (a substitute for kayaks) decreases.
- Q4.** Consider our usual downward-sloping linear demand and upward-sloping linear supply curves in a perfectly competitive market. Incomes increase and the cost of producing each unit of output increases. This will result in market price _____ if the good is _____.
- A. could increase or decrease; normal
 - B. increase; normal
 - C. decrease; normal
 - D. increase; inferior
 - E. decrease; inferior

Q5. We have a perfectly competitive market for tutoring classes. There are two suppliers with the opportunity costs for each hour of tutoring in the table below. At what market price will exactly 5 units be supplied?

	1	2	3	4	5
A	\$15	\$25	\$35	\$45	\$55
B	\$5	\$14	\$27	\$37	\$40

- A. \$15
- B. \$25
- C. \$30
- D. \$40
- E. \$55